

TOPIC I: LESSON ONE

An Overview of Financial Management

1.1 Introduction

Financial management is a fundamental course in your career in finance; it's an introductory course that builds basic financial concepts and ideas in the field of business management. The financial fundamentals are building blocks to help financial manager in a firm make the following crucial decisions:

- **Financing Decision** concerned with the sources of funds, cost of capital, mix of various capital components and evaluation of capital markets for long- and short-term financing
- **Investment In Long-Term Investment Decisions** involving derivation of future cash flows and appraising projects and how securities of the firm may be valued
- **Working capital management** which involves management of current assets to meet short term liquidity needs of the firm
- **Dividend Decisions:** Divisions of earnings between payment of dividends and retention for the purpose of financing future projects.

The modern-day financial manager is instrumental to a company's success. As cash flows pulsate through the organization, this individual is at the heart of what is happening. If finance is to play a general management in role in the organization, the financial manager must be a team player who is constructively involved in operations, marketing and the company's overall strategy. Where once the financial manager was charged only with such tasks as keeping record, preparing financial reports, managing the company's cash position, paying bill, and, on occasion, obtaining funds, he/she must perform all the above tasks.

1.2 Learning Objectives

- Describe key concepts in financial management
- Examine finance managerial and routine functions,
- Analyze goals/objectives of the firm
- Discuss financial systems,

- Evaluate agency theory/problem of the firm.

1.3 Definition of Key Concepts

Finance is a branch of economics concerned with resource allocation as well as resource management, acquisition and investment. It is the provision of money at the time when it is required.

Financial management may also be defined as a discipline concerned with the generation and allocation of scarce resources (usually funds) to the most efficient use within the firm (competing projects) through a market pricing system (the required rate of return).

1.4 Forms of Business Organizations

The key aspects of financial management are the same for all businesses, large or small, regardless of how they are organized. Still, its legal structure does affect some aspects of a firm's operations and thus must be recognized. There are three main forms of business organization: (1) sole proprietorships, (2) partnerships, and (3) corporations.

In terms of numbers, about 80 percent of businesses are operated as sole proprietorships, while most of the remainder are divided equally between partnerships and corporations.

A proprietorship

It is an unincorporated business owned by one individual. Going into business as a sole proprietor is easy—merely begin business operations. Proprietorships have three important advantages:

- (1) They are easily and inexpensively formed,
- (2) they are subject to few government regulations, and
- (3) they are subject to lower income taxes than corporations.

However, proprietorships also have three important limitations:

- (1) Proprietors have unlimited personal liability for the business's debts, which can result in losses that exceed the money they have invested in the company;
- (2) it is difficult for proprietorships to obtain large sums of capital; and
- (3) the life of a business organized as a proprietorship is limited to the life of the individual who created it. For these reasons, sole proprietorships are used primarily for small businesses.

However, businesses are frequently started as proprietorships and then converted to corporations when their growth causes the disadvantages of being a proprietorship to outweigh the advantages.

A partnership:

It is a legal arrangement between two or more people who decide to do business together. Partnerships are similar to proprietorships in that they can be established easily and inexpensively, and they are not subject to the corporate income tax. They also have the disadvantages associated with proprietorships: unlimited personal liability, difficulty raising capital, and limited lives.

The liability issue is especially important, because under partnership law, each partner is liable for the business's debts. Therefore, if any partner is unable to meet his or her pro rata liability and the partnership goes bankrupt, then the remaining partners are personally responsible for making good on the unsatisfied claims.

A corporation:

It is a legal entity created by a state, and it is separate and distinct from its owners and managers. Corporations have unlimited lives, their owners are not subject to losses beyond the amount they have invested in the business, and it is easier to transfer one's ownership interest (stock) in a corporation than one's interest in a non-incorporated business. These three factors make it much easier for corporations to raise the capital necessary to operate large businesses. Thus, growth companies such as Hewlett-Packard and Microsoft generally begin life as proprietorships or partnerships, but at some point find it advantageous to convert to the corporate form.

In deciding on a form of organization, firms must trade off the advantages of incorporation against a possibly higher tax burden. However, the value of any business other than a very small one will probably be maximized if it is organized as a corporation for the following three reasons:

1. Limited liability reduces the risks borne by investors, and, other things held constant, the lower the firm's risk, the higher its value.
2. A firm's value is dependent on its growth opportunities, which, in turn, are dependent on its ability to attract capital. Because corporations can attract capital more easily than can unincorporated businesses, they are better able to take advantage of growth opportunities.

3. The value of an asset also depends on its liquidity, which means the ease of selling the asset and converting it to cash at a “fair market value.” Because an investment in the stock of a corporation is much easier to transfer to another investor than are proprietorship or partnership interests, a corporate investment is more liquid than a similar investment in a proprietorship or partnership, and this too enhances the value of a corporation.

1.5 Scope of Finance functions

The functions of Financial Manager can broadly be divided into two: The Routine functions and the Managerial Functions.

Managerial Finance Functions

They are the most important functions of the finance manager since they affect the value of the firm. These functions require skillful planning, control and execution of financial activities. There are four important managerial finance functions. These are:

a) Investment of Long-term asset-mix decisions

These are decisions that relates to the commitment of current funds to long term projects that would yield returns over a number of years in the future. They refer to the firm’s decision to commit current funds to the purchase of fixed assets in expectation of future cash inflows from these projects

Investment decisions also relates to recommitting funds when an old asset becomes less productive. This is referred to as replacement decision.

b) Financing decisions/Capital structure decisions

Financing decision refers to the decision on the sources of funds to finance investment projects. The finance manager must decide the proportion of equity and debt. The mix of debt and equity affects the firm’s cost of financing as well as the financial risk.

Finance manager must decide on the optimal debt-equity mix which will minimize the overall cost of capital.

c)Dividend decision/ Division of earnings decision

These are decisions concerning the division of the firms earnings into what to retain in the business for refinancing purposes and what to distribute to shareholders as dividends. The

firm's dividend payout policy may influence the determination of the value of the firm and therefore the finance manager must decide the optimum dividend – payout ratio so as to maximize the value of the firm.

The earnings must also be distributed to other providers of funds such as preference shareholder, and debt providers of funds such as preference shareholders and debt providers.

d) Liquidity decision

The firm's liquidity refers to its ability to meet its current obligations as and when they fall due.

It is concerned with the level of investment in current assets- It can also be referred to as current assets management. Investment in current assets affects the firm's liquidity, profitability and risk. The more current assets a firm has, the more liquid it is. This implies that the firm has a lower risk of becoming insolvent but since current assets are non-earning assets the profitability of the firm will be low. The finance manager should therefore develop sound techniques of managing current assets to ensure that neither insufficient nor excess investment in current assets.

Routine functions

For the effective execution of the managerial finance functions, routine functions have to be performed. These decisions concern procedures and systems and involve a lot of paper work and time.

These functions do not require skilful planning, control and execution of financial activities. They are supportive to the managerial functions and are normally delegated to the junior staff in the organization. Some of the important routine functions are:

- a) Receipts and payments of cash
- b) Issue of cash receipts
- c) Custody and safeguarding of important documents
- d) Record keeping and reporting
- e) Implementing the internal control in the finance department

The finance manager will be involved with the managerial functions while the routine functions will be carried out by junior staff in the firm. He must however, supervise the activities of these junior staff.

1.6 Goals/Objectives of a Business Entity

Any business firm would have certain objectives which it aims at achieving.

Finance management is concerned with procurement and use of funds in such a way that the earnings are maximized. The finance manager must always evaluate the cost and the benefit before putting funds to any alternative use.

The major goals of a firm are:

- Profit maximization
- Shareholders' wealth maximization
- Social responsibility
- Business Ethics
- Growth

(a) Profit maximization

Traditionally, this was considered to be the major goal of the firm. Profit maximization refers to achieving the highest possible profits during the year. This could be achieved by either increasing sales revenue or by reducing expenses. Note that:

$$\text{Profit} = \text{Revenue} - \text{Expenses}$$

The sales revenue can be increased by either increasing the sales volume or the selling price. It should be noted however, that maximizing sales revenue may at the same time result to increasing the firm's expenses.

The pricing mechanism will however, help the firm to determine which goods and services to provide so as to maximize profits of the firm.

Arguments in favor of profit maximization

- i. Since profit earning is the main aim of the business then profit maximization should be the obvious objective
- ii. Profitability is a barometer for measuring efficiency and economic prosperity of the business enterprise.
- iii. Under bad economic conditions, a firm can fall back on past earnings.
- iv. Profits are the main source of finance for growth of a business.
- v. Profitability is essential for fulfilling social goals and thus maximizes social economic welfare.

Arguments against profit maximization objective

- It ignores the concept of time value of money i.e it does not differentiate between monies received at different times
- It ignores risk and uncertainties associated with cash flows
- It is vague and ambiguous in the sense that it is not clear which profits should be maximized i.e is it profit before tax, profit after tax, retained earnings, operating profit, or earnings per share.
- It is a short term goal which is inconsistent with the going concern concept of the firm.
- It is exploitative to workers and consumers hence it is immoral and leads to corruption.
- It ignores other participants in the firm rather than shareholders

Profit maximization – This is a traditional and a cardinal objective of a business. This is so for the following reasons:

- To earn acceptable returns to its owners. (*i.e. Must not be less than bank rates + inflation + risk*)
- So as to survive (through plough backs)
- To meet its day to day obligations.

(b) Shareholders' wealth maximization

Shareholders' wealth maximization refers to maximization of the net present value of every decision made in the firm.

It involves investing in projects which yield positive Net Present Value. The wealth of shareholders is maximized when the firm undertakes projects that results to positive Net Present Value.

Net present value is equal to the difference between the present value of benefits received from a decision and the present value of the cost of the decision.

A financial action with a positive net present value will maximize the wealth of the shareholders, while a decision with a negative net present value will reduce the wealth of the shareholders. Under this goal, a firm will only take those decisions that result in a positive net present value.

Shareholder wealth maximization helps to solve the problems with profit maximization.

Arguments in favor of Shareholders' Wealth Maximization

- Considers time value of money by discounting the expected future cash flows to the present.
- It recognizes risk by using a discount rate (which is a measure of risk) to discount the cash flows to the present.
- It is a long term goal which is consistent with the going concern concept of the firm.

Arguments against Shareholders' Wealth Maximization

- It is a subjective goal since it uses future cash flows which are uncertain.
- It ignores the welfare of other interested parties in the firm.
- It is a prescriptive idea- the objective is not descriptive as to what the firm actually do.
- It is not socially desirable.

To maximize the net worth i.e. the difference between total assets and total liabilities. This is important because:

- It influences company's share prices.
- It facilitates growth (plough backs).
- It boosts the company's credit rating.
- This is what owners claim from the company.

(c) Social responsibility

The firm must decide whether to operate strictly in their shareholders' best interests or be responsible to their employers, their customers, and the community in which they operate. The firm may be involved in activities which do not directly benefit the shareholders, but which will improve the business environment.

This has a long term advantage to the firm and therefore in the long term the shareholders wealth may be maximized.

They are actually the social responsibilities of the firm. A firm pursues non financial goals because it has to interact with the other parties in its environment.

- a) Welfare to employees through fair remuneration, promotion, good retirement benefits and conducive working environment
- b) Welfare to the government through prompt payment of taxes and following the rules and regulations set up by the government
- c) Welfare to the community through pollution control, employment of its members, taking part in community development programs and adhering to business ethics
- d) Welfare to the suppliers through by paying for credit purchases when payment is due.

(d) Business Ethics

Related to the issue of social responsibility is the question of business ethics. Ethics are defined as the "standards of conduct or moral behaviour". It can be thought of as the company's attitude toward its stakeholders, that is, its employees, customers, suppliers, community in general, creditors, and shareholders. High standards of ethical behaviour demand that a firm treat each of these constituents in a fair and honest manner. A firm's commitment to business ethics can be measured by the tendency of the firm and its employees to adhere to laws and regulations relating to:

- i. Product safety and quality
- ii. Fair employment practices
- iii. Fair marketing and selling practices
- iv. The use of confidential information for personal gain
- v. Illegal political involvement

vi. bribery or illegal payments to obtain business

(e) Growth

This is a major objective of small companies which may even invest in projects with negative NPV so as to increase their size and enjoy economies of scale in the future.

(f) To maximize welfare of employees – Happy employees will contribute to the profitability. This includes:

- Reasonable salaries
- Transport facilities
- Medical facilities for the employee and his family
- Recreation facilities (sporting facilities).

(g) Interests of customers – the company has to provide quality goods at fair prices and have honest dealings with customers.

(h) Fair dealing with suppliers. A company must:

- Meet its obligations on time
- Avoid dishonor of obligations.

(i) Duty to the government: A company should:

- Pay taxes promptly
- Go by government plans
- Operate within legal framework.

5.4 Learning Activities

1. What are the key differences between sole proprietorships, partnerships, and corporations?
2. How do some firms get to enjoy the benefits of the corporate form of organization yet avoid corporate income taxes?
3. What are the key functions of a firm's finance manager?
4. Discuss the key goals of the firm.

5.5 Summary

In Kenya today, 98% of business are small medium enterprises. The role of financial management is to help the owners of the firm understand management of business finances. Understanding the form of business will help entrepreneurs know which form of business to register especially through the e-citizen platform. As a business student strive to understand the types of business in Kenya today and establish how they are organized and financially managed.

5.6 Further Reading

1. Weygandt, Jerry J., Kimmel, Paul D., & Kieso, Donald E. (2010). Financial accounting. New York: John Wiley & Sons.
2. Albrecht, W.S., Swain, M., Stice, E., & Stice, J. (2010). Financial accounting. Florence, SC: Cengage Learning.
3. Stice, E., Stice, J., & Diamond, M. A. (2005). Financial accounting: Reporting & analysis. Florence, SC.: Cengage Learning.